

Voluntary overtime - wage code setup

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Purpose

This procedure sets up the wage codes for voluntary overtime in the payroll engine.

Steps

1. Use wage code 1260 for voluntary overtime hours. 2. The engine exempts the first 240 hours per year from social security and withholding tax. 3. Hours above 240 up to the yearly limit are subject to normal contributions.

Example

250 hours in 2026 at EUR 20.00: 240 hours exempt (EUR 4,800.00) and 10 hours taxed (EUR 200.00), total EUR 5,000.00 gross.

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